

FITLER MBA · SESSION 02 · JUNE 9

Customer Discovery

Validate before you build.

WHERE WE LEFT OFF

Session 01 gave you an idea. Tonight we find out if it's real.

Idea Forge got each of you to a sharpened concept. That concept is a **set of guesses** — about who hurts, how much, and who'd pay to make it stop. Discovery is the discipline of testing those guesses before you spend a year and a payroll proving them wrong.

The Discovery Loop



We work the first four tonight. **Validate** — pitch, prototype, first dollars — is next session.

Source: customer development, after Steve Blank

FIRST PRINCIPLE

A startup is a
temporary
organization built to
search for a
repeatable, profitable,
scalable business
model.

Steve Blank · *The Four Steps to the Epiphany*

THE TRAP

The Old Way of Starting



IDEA



PLAN



\$\$\$



HIRE



V1.0



LAUNCH

Everything is committed **before** the first customer says a word. The first real data point arrives at Launch — the most expensive possible place to learn you were wrong.

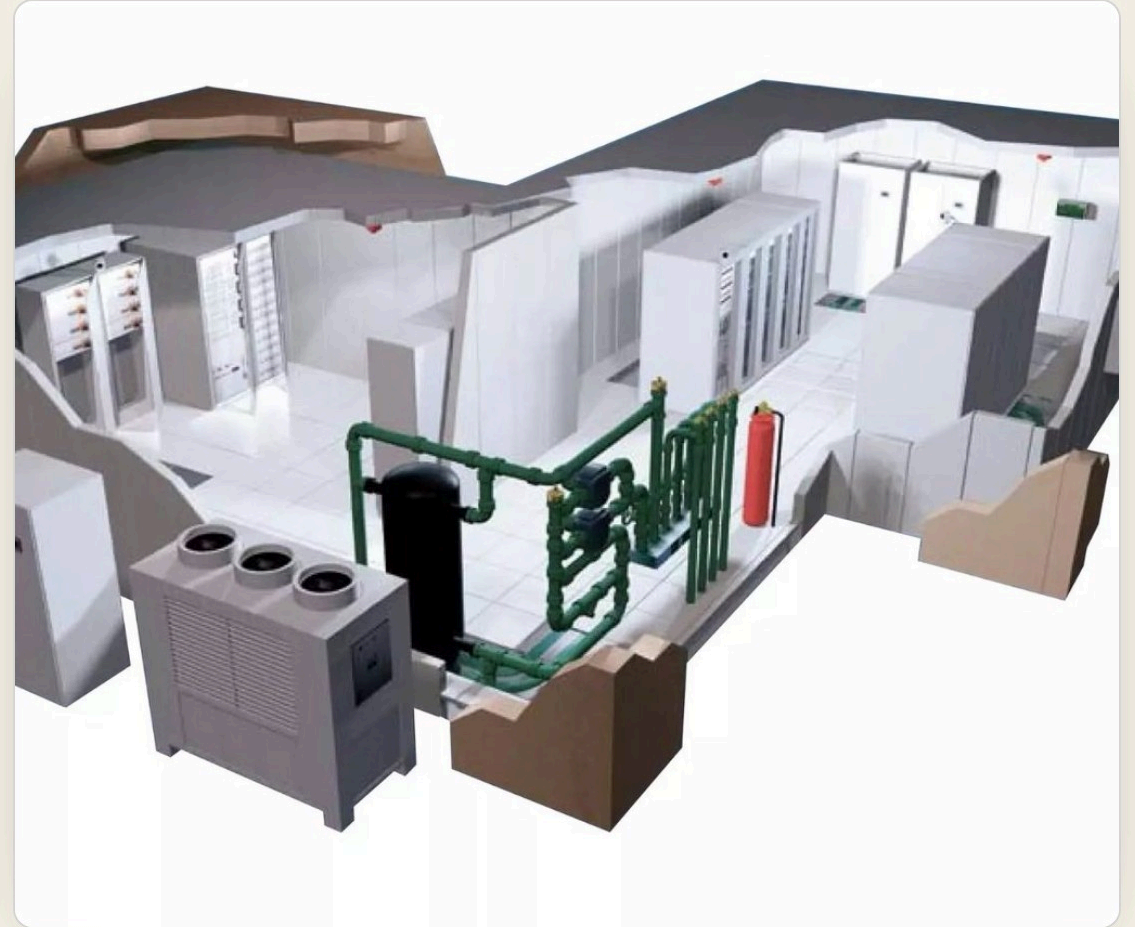
Source: *The Four Steps to the Epiphany*, Steve Blank

A WAR STORY

My \$7.1M ServerVault Lesson



Outside: built to a fortress spec.



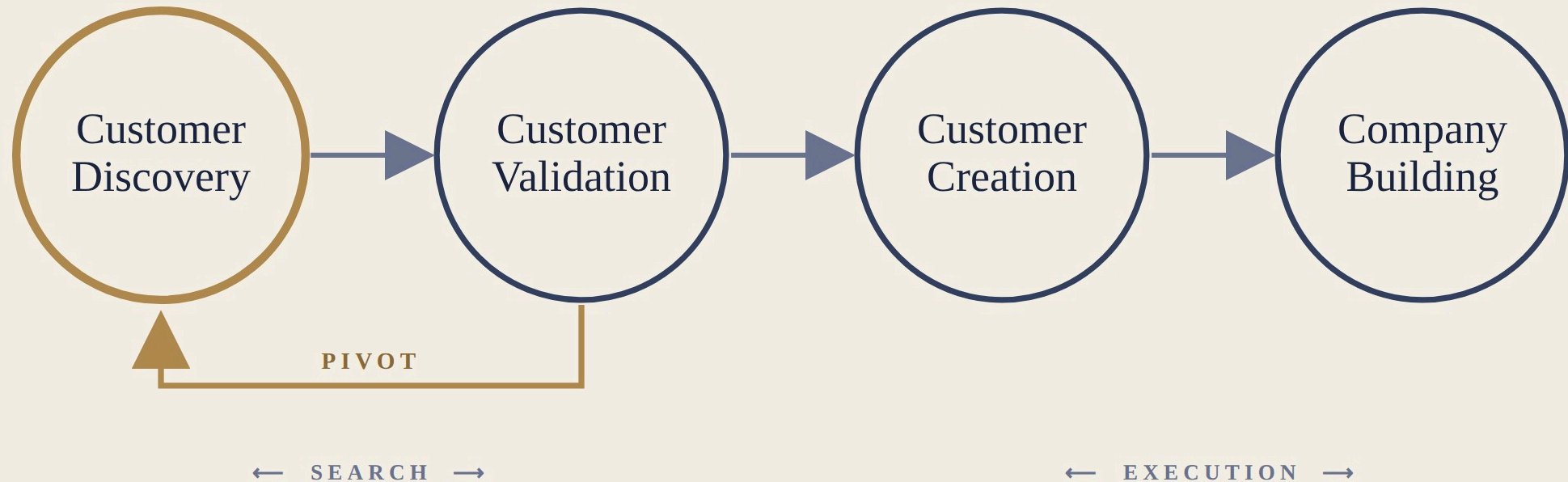
Inside: every component, capital committed before validated demand.

*Steel, cooling, security, racks — flawless. The question nobody falsified: **at this price, who actually***

built the fortress? The answer was in this: we were building the fortress before we had the fortress.

THE MODEL

Customer Development



The gold arrow is the point: failed validation loops you
back cheaply — not forward expensively.

Source: *The Four Steps to the Epiphany*, Steve Blank

The Four Foundation Questions

- 01 What problem do you solve?
- 02 Who's got it?
- 03 What's the impact of the problem?
- 04 What will they **pay** to make it go away?

Q4 is the magnitude. **Who** pays — often not the user — is the ecosystem's job, next.



HYPOTHESES

INVESTIGATE

SYNTHESIZE

REALITY CHECK

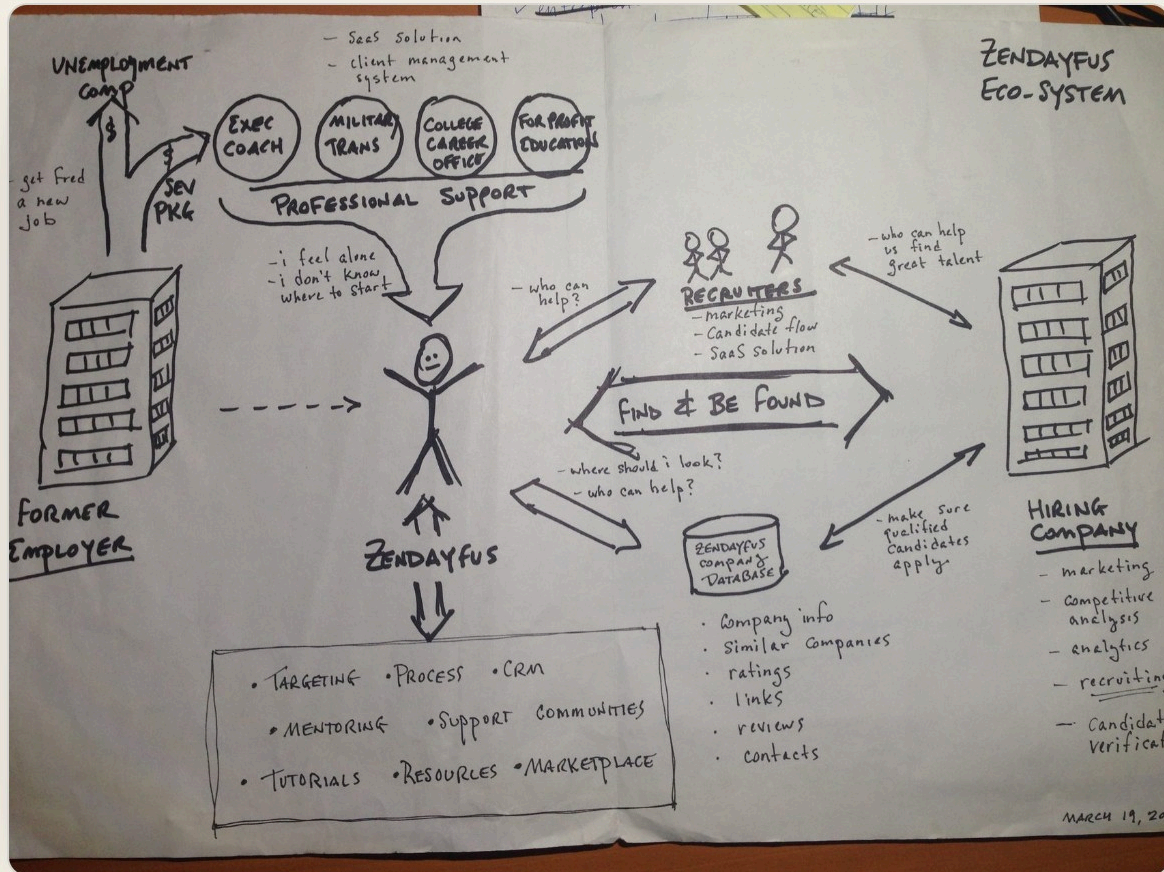
VALIDATE

STAGE 01

Hypotheses

Guess on purpose — in writing.

Map the Whole Ecosystem



Zendayfus — first ecosystem pass. User here; payer over there. Drawn by hand — yours should be too.

Users — who lives with it

Connected parties

Payers — who opens the wallet

Gatekeepers — approve / veto

Data flow

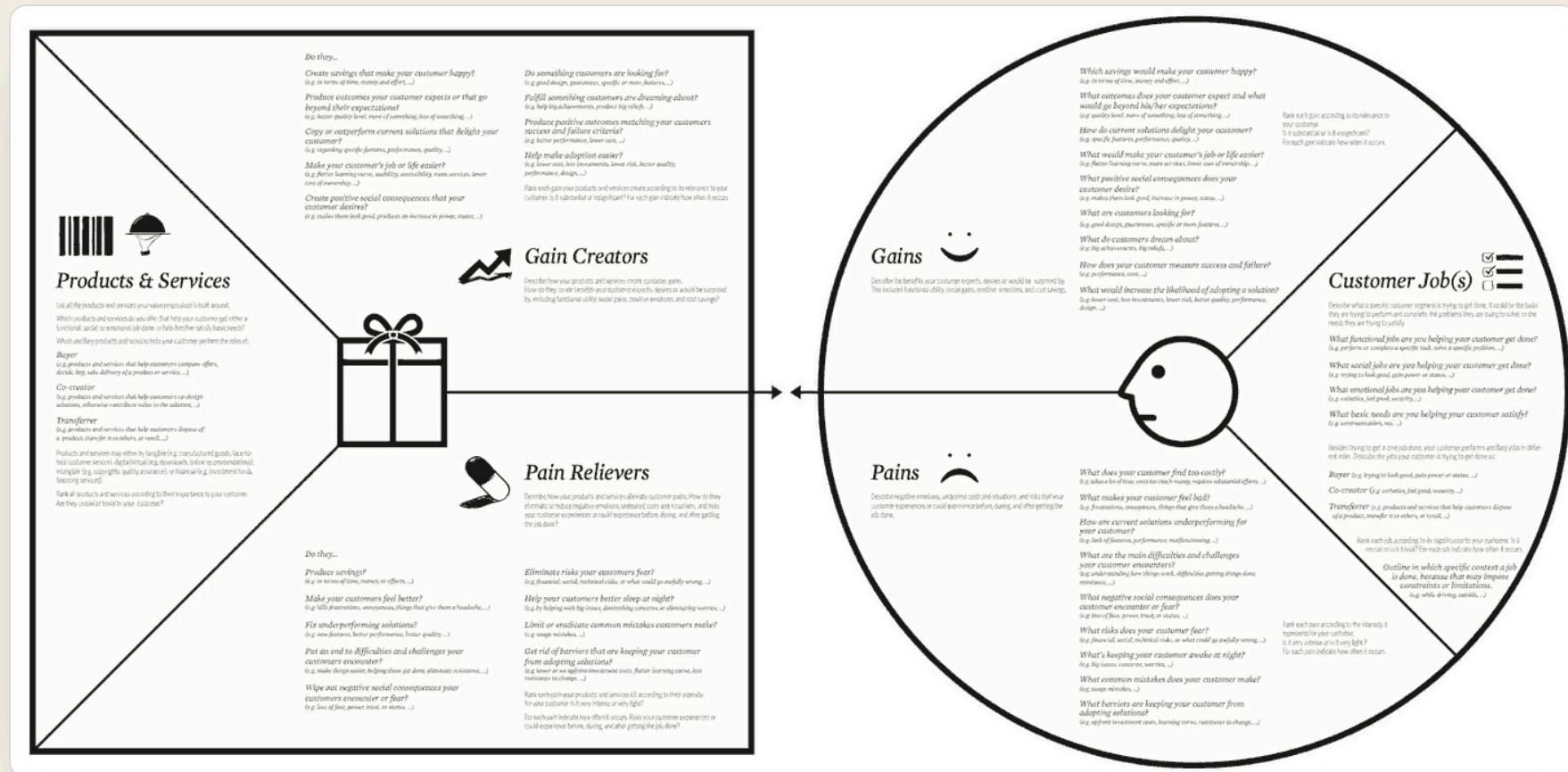
Money flow

Secondary processes

The payer is rarely the user. Find the wallet and the gatekeeper before you fall in love with the user.

HYPOTHESES · THE FIT YOU'RE BETTING ON

Product–Market Fit



Fit is when your square answers their circle. **Strong opinions, loosely held** — you'll redraw this after the interviews.

Value Proposition Canvas, after Osterwalder · your 11x17 takeaway

Create Tests That Make You Smarter

We believe *[segment]* struggles with *[problem]* when *[context]*.

We'll know we're right when *[observable signal]* — and we'll act on it at 85% conviction.

“Do you like the website?” → *“What’s the one thing on the dashboard you’d use every day?”*

“Would you pay for this?” → *“Would you pay \$29.99/mo? No? How about \$9.99?”*

“Is this a problem for you?” → *“What did it cost you last quarter — in hours or dollars?”*

“Would you use this feature?” → *“Walk me through the last time you needed it. What did you do?”*

“Do you think it’s a good idea?” → *“Can I put you down for the September pilot?”*

HYPOTHESES

INVESTIGATE

SYNTHESIZE

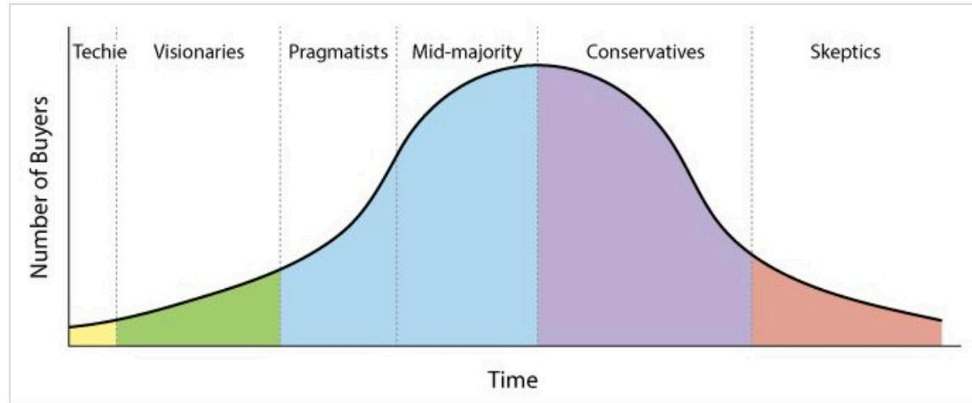
REALITY CHECK

VALIDATE

STAGE 02

Investigate

Get out of the building.



This chart shows that over time your product or service, if successful, will gradually spread through the market. Your process innovation will gradually be accepted by its potential users. The categories are (in order of adoption):

TECHIES	VISIONARIES	PRAGMATISTS	MID-MAJORITY	CONSERVATIVES	SKEPTICS
First adopters who like "cool" products that others don't have.	Usually want to get an advantage by being first. Willing to tolerate a less than perfect product to do that.	Expect a "whole product" that can be used with minimal customer adaptation.	Do what others are doing and require an easy plug-in solution.	Need a solution that is more tailored to their specific needs - often has adaptations to do this.	The final group will only adopt the new product when everyone else who will benefit have it and it has become the accepted tool for its purpose.

INVESTIGATE · WHO FIRST

Talk to the Left Edge

Right now you want **techies and visionaries** — the people who feel the problem so badly they'll tolerate a rough answer. The mainstream buys proof you don't have yet.

The full chasm story is the go-to-market session. Tonight it's just a targeting map.

INVESTIGATE • THE WORK

25–50

Conversations

Not three. You're hunting for **signal, not applause** — and every one of these meetings has to be earned. AI accelerates the prep and the breadth; it cannot have the conversation for you.



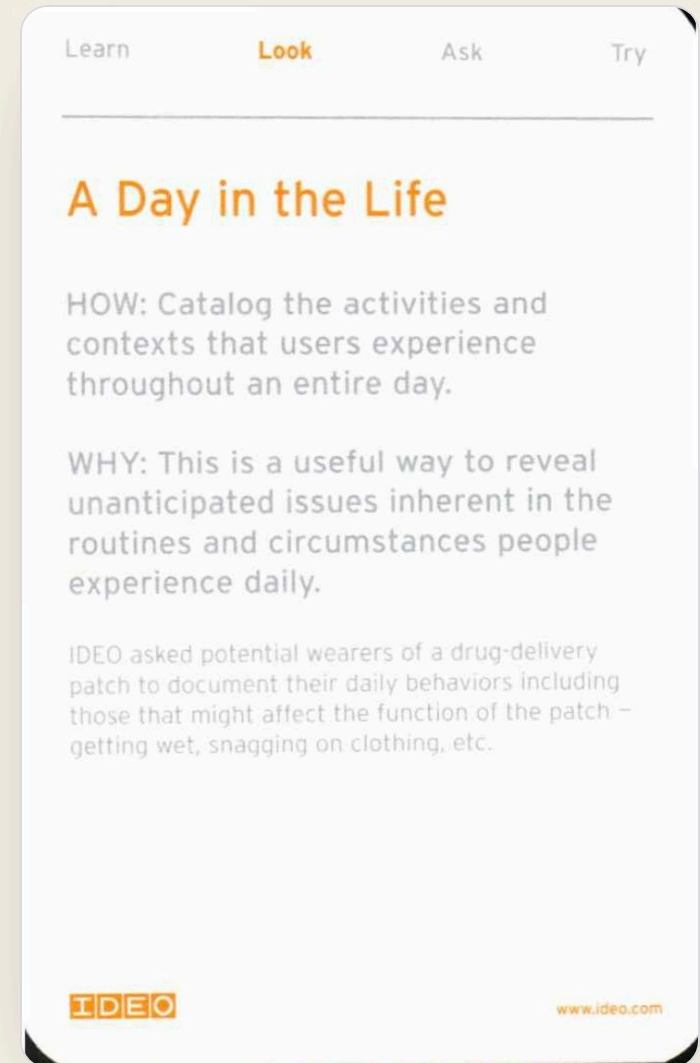
Your interview pipeline — real humans, one at a time.

INVESTIGATE · IDEO METHOD

Observe Behavior. Don't Just Listen

People can't always articulate their real needs — but their day reveals them. Catalog the routine and the unanticipated friction shows up where words don't.

IDEO Method Cards · *A Day in the Life*



Interview Like a Pro — The Mom Test

“Why?” — **five times**

“Tell me more...”

“Walk me through the **last time** that happened.”

“How would you describe it to someone else?”

“Draw me a picture.”

Anchor in real past behavior — people are unreliable narrators of their own future.

Don't sell.

Rob Fitzpatrick · *The Mom Test* (on your reading list)



A pro at work: open questions, follow the thread, never pitch. (CBS News / 60 Minutes)



INVESTIGATE · IDEO METHOD

What You Assume ≠ What They Live

The deadly gap is between the founder's picture of the customer and the customer's actual experience. Enact theirs — out loud — and watch your assumptions fall out.

IDEO Method Cards · *Be Your Customer*

Turn Conversations Into Conviction

LOG SAME-DAY · CLUSTER THE PAIN · SCORE EVERY HYPOTHESIS · EVIDENCE OVER COMPLIMENTS



0-15% · STOP

Stop right now. This is a dead end — there's **no value to be had here.**

16-84% · NON-CONCLUSIVE

Rearchitect your questions and go again. Still here? The market has no strong opinion — **backburner it** and review later.

85-100% · BUILD IT

Run, don't walk. You've found truth — and the market confirms it.

Anecdotes are noise. Convergence is signal.

HYPOTHESES

INVESTIGATE

SYNTHESIZE

REALITY CHECK

VALIDATE

STAGE 04 · RED CELL

Try to Kill It

- Why **won't** this work?
- Why won't people change their behavior?
- Why won't the gatekeeper say yes?
- Is the price actually justifiable?

We attack the idea so the founder doesn't waste a year. The idea — never the person.



Validate Is Next Session

Sales pitch, dummy prototype, the first real dollars.
Tonight we stop at the edge of it — with a hypothesis
worth validating.

TEN MINUTES

Break

When we're back, we operate — live.

Before you go: **whose idea can we run through the loop together?** Think about volunteering yours.

LIVE BUILD

We Operate on the Idea — Together

One real idea, run through the loop on screen. Claude is the accelerant — it drafts, we critique, we sharpen. I drive; the room edits.

Ground rule: we stress the idea, not the person. Killing it cheaply tonight is the gift.

Run the Idea Through the Loop

- 01 **THE QUESTIONS** · answer the four foundations
- 02 **THE MAP** · ecosystem — find the payer & gatekeeper
- 03 **THE TEST** · one falsifiable hypothesis, to the 85% bar
- 04 **THE SCRIPT** · three Mom-Test questions
- 05 **THE KILL LIST** · three reasons it won't work

BEFORE NEXT SESSION

Your Reps

- Run the **five moves** on your own Idea Forge venture — Questions, Map, Test, Script, Kill List
- Line up and start your **first real interviews** — left edge first
- Build a **NotebookLM** research vault for your discovery notes
- Bring your falsifiable hypothesis to next session

NotebookLM setup — self-paced tutorial (Jeff Su): youtube.com/watch?v=_uXnyhrqmsU · Keep your 11×17 Value Prop Canvas on the wall and draw on it.

SESSION 02

Talk to Humans.

Validate before you build.